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What drives California's budget decisions? A lot of politics, not as much data

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Author: SAMEEA KAMAL CalMatters | Section: News | 662 Words
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Frustration came through loud and clear as legislators hurled question after question at the head of California's homelessness interagency council: Why, after years of planning and billions of dollars invested, is there so little to show for the effort?

"You come into a budget committee and there's no numbers," Assemblymember Phil Ting, a San Francisco Democrat, said at the May 6 Assembly committee hearing. "Why is it taking so long?"

Assemblymember Vince Fong, a Bakersfield Republican, took issue with the council saying it needed more money to compile the data. And Chris Ward, a Democrat from San Diego, said he'd been asking the same questions since 2022: "The fact that we're still now, three years later here as a state is incredibly frustrating because that guides our decision making here as a budget."

But even without a full picture of how well the homelessness spending is working, Gov. Gavin Newsom is proposing cuts to cover the state's budget deficit.

That's just one example of how the state budget gets put together, often without fully knowing if a program is paying off. Revenue dictates decisions, and voter-passed initiatives direct some spending. After that, legislators use any data that's available, but they also negotiate with other officials and listen to their constituents.

They're also lobbied by advocates and interest groups. (More than 650 organizations spent money lobbying on the budget, as well as other issues.)

For the 2024-25 budget now before the Legislature, Newsom released a revised plan earlier this month that calls for dipping into reserves, canceling some new spending and cutting existing programs to cover a remaining shortfall of $27.6 billion. The independent Legislative Analyst's Office, which assesses the budget picture through different calculations, cites the deficit as $55 billion, though it generally agrees with Newsom's overall view of the state's finances.

Today and through this week, the Assembly and Senate will conduct hearings on Newsom's proposals. The Legislature faces a June 15 deadline to approve its version.

Jesse Gabriel, who leads the Assembly budget committee, noted that only a handful of legislators have dealt with a deep deficit before. The state had a record budget surplus as recently as two years ago, thanks to federal pandemic aid and a roaring stock market; the last lengthy recession ended in 2009.

"This is a new experience for a lot of people," the Democrat from Encino told CalMatters. "I think we're going to have to work really hard together to get on the same page and do the best we can in a really difficult situation."

State bases money needs on prior year

Addressing California's deficit is a two-part equation, where increasing revenue could help. But Newsom has ruled out increasing taxes and instead emphasized "right-sizing expenditures," telling legislators they shouldn't expect bills with high price tags to pass.

For Gabriel, the May 6 hearing by the revamped accountability and oversight committee hints at an appetite for culture change in the Legislature — though one that could take time.

"We want to be doing a lot more data-driven decision making about which programs and services are really delivering results for Californians," he told CalMatters. "For us, that metric is not did the money go out the door? But was it impactful? Did it make a difference in results for the people it was intended to serve?"

California currently uses "incremental budgeting:" Each department's or program's funding request starts with what they spent last year, updated with best estimates of what they need in the coming year. Also known as "baseline budgeting," it's the most common approach states take, according to the National Conference of State Legislatures.

Some public analysis of how programs are working comes from the nonpartisan Legislative Analyst's Office and state agencies, sometimes at the request of lawmakers.

But a CalMatters analysis published in February found that 70% of the 1,118 state agency reports on how laws were working due in the past year had not been submitted to the Office of Legislative Counsel, which keeps reports. And about half of those that were filed were late.

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